1.9.2 Internal Check-Cash Payments

There should be an effective system of internal check with regard to all payments made by the concern in the form of cash or cheque or bank transfers. Cash payments may be misappropriated in the following ways:

- Payments may be made against fictitious vouchers.
- Payments may be made against inflated vouchers.
- Payments may be made without receipt of goods.
- Revenue expenses maybe treated as capital expenditure.

Hence, a proper system of internal check is necessary. The following system of internal check may be adopted as regards cash payments.

1. The person in charge of making cash payments should not have any connection with the person responsible for receiving cash.
2. The person responsible for making cash payments should not have access to the books of accounts.
3. All the payments should be paid by way of crossed cheque.
4. After making payment against a particular bill or invoice, the voucher and the supporting bill or invoices should be stamped as 'paid' so that the same voucher is not passed again for payment.
5. Unused and cancelled vouchers and cheque books should be kept under the custody of a responsible person.
6. Person who is responsible for preparing the cheque should be clearly specified. Before passing a bill for payment, it should be ensured that the goods have been received.
7. The bill for which payment is to be made should be sanctioned by the responsible official.
8. Confirmation of balances from the creditors should be made through direct correspondence.
9. Proper sanction should be obtained by directors from higher officials to make payment for transactions of special nature.
10. Bank reconciliation statement should be prepared to reconcile cash and bank balances from time to time.

1.10 Internal checks-Wages

Wages are very important item of expenditure. The system of internal check for wages should be devised in a planned and careful manner. There are great possibilities of frauds in a concern employing a large number of workers. A sound system of internal check for payment of wages may avoid errors and frauds which may be revealed from time and piece wages records.

The following system of internal check may be adopted as regards wages.

I. Maintenance of Wages Records

1. **Time Records:** It is a record maintained by the gate keeper who records the entry time and exit time of each worker. Foremen of each department also maintain records for time spent by an employee. When wages are paid on

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